Country Compliance Report:

Malta

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Malta, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
Post Audit	The post-audit tax regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax office. Even though e-documents are allowed, there are no provisions as to what format, infrastructure, or how they should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving. The term post-audit stems from the fact that Tax audits can be performed months or years after the transactions originally took place.
MITA	The Malta Information Technology Agency (MITA) is the public entity vested with the responsibility to provide ICT infrastructure, systems and services to Government that leverage a modern digital ecosystem and contribute towards the definition and execution of the Government's digital strategies that sustain a modern digital economy.
Validation of eSignature	means the process of verifying and confirming that an electronic signature or a seal is valid.
Peppol	The Peppol Network is a logical network enabling secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service Providers.

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Malta, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Malta VAT Department • Malta Information Technology Agency (MITA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Item 1(4), 3 and 6 of the Twelfth Schedule to the VAT Act • Subsidiary Legislation 406.12 to the VAT Act

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is e-invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• B2B: Optional (Post-Audit) • B2G: Optional Peppol preferred
e-Invoicing model	• Post-audit
e-Invoice definition[2]	• An electronic invoice is defined as an invoice […] which has been issued and received in any electronic format.
Scope of taxpayers the e-document mandate applies to	• B2G: Mandatory for receiving for all contracting authorities when the amount is above the threshold of EUR 144.000 • B2B: Buyer's consent required
Mandatory AoR (document response) process	• N.a
Implementation / roll-out plan	• N.a

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for an IT number in Malta:

- Exemption for small businesses – EUR 35.000 (supply goods)/ EUR 30.000(supply services)
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 10.000
- Application of the special scheme for distance selling – EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Malta IT number format: MT12345678

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit requirements
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• N.a

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• No explicit requirements
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Malta has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

On 27 December 2021, the Government of Malta signed a contract with Pagero for enabling Peppol connectivity for all regional and local authorities in the country. Maltese and international businesses will be able to send e-Invoices to any public sector body in Malta via the Peppol infrastructure. Implementation of the Peppol infrastructure is currently under development and expected to be fully implemented in Q3 2022.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• N.a.	• N.a.
Other document format(s) commonly used for exchange between trading parties	• Peppol BIS • EN compatible formats	• PDF
Mandated platform(s) required to have connection with for e-document processing	• No mandatory infrastructure	• N.a.
Other platform(s) relevant for e-document processing	• N.a.	• N.a.

Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• Peppol ID	• N.a.
Other technical aspects	• N.a.	• N.a.

5.2. Communication methods

Regulations in Malta foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• N.a
Manual	• Allowed to use: web portal, e-mail distribution, scanning and printing
Other options	• N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

B2B: Post-Audit

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms and other business-related preferences.
(2) The key requirements are to ensure that the document content, document integrity and authenticity, as well as archiving requirements, fulfil Malta laws and those of those of the respective trading partner.
(3) Neither the document format nor the exchange mechanism is regulated.

B2G: Centralized via Peppol as preferred

(1) Supplier provides invoice data to the sending service provider (SSP)
(2) SSP/supplier sends the final e-document to the receiving service provider (RSP) / buyer in Peppol format
(3) RSP/buyer sends the received e-document to the contracting authority in Peppol BIS format
(4) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, is legally speaking optional.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Not explicitly regulated

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

The use of an electronic invoice is subject to acceptance by the recipient. There is no further guidance as regards how acceptance must be done, and in particular whether the acceptance must be explicit or may also be implicit (such as by paying the invoice).

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No explicit requirements or regulations, however PDFs are the most common format. Trading parties can determine the method and format to exchange business documents.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements in Malta.

5.5. AoR (response) process

In Malta, there are no explicit requirements.

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Malta, there is no mandatory infrastructure conducting validation. However, every Peppol document is validated by the sending service provider before entering the Peppol network.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

However, there are no explicit requirements in Malta

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	Allowed
Pull communication	Allowed
E-mail distribution	Allowed
Webportal[4]	Allowed
Scanning inbound invoices	Allowed
Scanning outbound invoicing	Allowed

[4] Note, however, that prior to using and external portal, like Pagero’s Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note. Corrective invoices may also be issued.
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Credit note
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note. Corrective invoices may also be issued.
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note. Corrective invoices may also be issued.
Other scenarios with different correction option	• In practice the most commonly encountered are credit notes and corrective invoices.
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Both
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• Yes

The VAT Act does not provide for a specified rectification process. In practice, credit and debit notes appear to be most applicative. Taxable persons registered for VAT must keep records of all the credit notes, debit notes and any other documentation relating thereto which constitutes evidence of the increase or decrease in the consideration of any supply.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed

Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• No
Whether any conditions apply, and which, to the dematerialisation	• According to the VAT Act, invoices must be stored in the original form in which they were sent or made available, whether paper or electronic • In practice, destruction of the source invoice may be possible, provided that I&A of the new document can be proven
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No
Whether any conditions apply, and which, to the materialisation	• According to the VAT Act, invoices must be stored in the original form in which they were sent or made available, whether paper or electronic • In practice, destruction of the source invoice may be possible, provided that I&A of the new document can be proven

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There are no specific prescriptions in this respect in Malta.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice • Self-billed
Documents mandatory for issuance by buyer	• N.a

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes • The amount of the invoice incl. VAT is not higher than 100 EUR

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

The numbering must be unique and chronological, gaps between numbers are permitted. Different number ranges for branches, permanent establishments, etc. or invoice patterns are allowed to be used. Combination of letters and numbers is possible. Corrective invoices do not require their own sequence.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential	• Yes

numbering for intercompany billings, credit notes, etc.)	
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No • In terms of the Malta VAT Act, a valid tax invoice must contain a sequential number, based on one or more series, which uniquely identifies the invoice.

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

There is no additional document numbering in Malta.

6.3. Indirect tax (IT)[5] rates

This section illustrates the applied IT[6] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
18%	**Standard**	All other taxable goods and services
7%	**Reduced**	Tourist accommodation, use of sporting facilities
5%	**Reduced**	Confectionery, Medical equipment and accessories, Printed matter (including e-books/audio books), Supply of electricity, Items for the exclusive use of the disabled, the importation of works of art, collectors' items and antiques
0%	**Zero**	Food (excluding catering), Pharmaceutical goods, International transport, Exports of goods and related services, Supplies to ships, Supply of gold to the Central Bank of Malta
	Exempt	Letting and transfer of immovable property, Health and welfare, Education, Postal services, Banking and insurance, Grant and negotiation of credit and the management of credit by the grantor, Supply by non-profit organizations of approved services related to sports or physical recreation, Sports, Lotteries, Broadcasting, Water

[5] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[6] Local name VAT

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Malta. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements	• No
Sequential numbering	• Yes
Required to mention copy or duplicate in case a copy is issued	• No
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• No, but recommended
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• Yes
Place of legal seat of the supplier (Headquarters)	• Yes
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended
Shipped to location (for the supply of goods)	• No, but recommended
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• No

Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• No
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No, but recommended
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• No
Which exchange rate must be applied in order of priority	• The last selling rate that is applied by commercial banks in Malta. Or the use of the latest exchange rate published by the European Central Bank at the time the tax becomes chargeable shall also be accepted.
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• Reference to the provision of the Malta VAT Act or of Council Directive 2006/112/EC establishing the applicable VAT exemption. Where the customer is liable for the payment of the tax on a supply, the mention 'Reverse Charge'.

Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• Yes
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• EUR 100,00
Other supplies for which a simplified invoice can be issued	• The invoice issued is a document or message treated as an invoice;

	• The invoice contains all the necessary information for simplified invoices as per item 5 of the Twelfth Schedule in the VAT ACT
Simplified invoices limited to certain type of supplies	• No
Simplified invoices not allowed for certain transactions	• Simplified invoices are not permitted when: a) where invoices are required to be issued in case of cross-border supplies or; b) where the taxable supply of goods or services is carried out by a taxable person who is not established in the Member State in which the tax is due or whose establishment in that Member State does not intervene in the supply within the meaning of the proviso in article {….} and the person liable for the payment of the tax is the person to whom the goods or services are supplied
Minimum content requirements on a simplified invoice	• The date of issue; • A sequential number, based on one or more series, which uniquely identifies the invoice; • The name, address and the Value Added Tax identification number of the supplier; • The Value Added Tax identification number of the person to whom the supply is made; • A description sufficient to identify the goods and services supplied; • The total amount of tax payable or the information needed to calculate it; • Where the invoice issued is a document or message treated as an invoice pursuant to item 1(2), specific and unambiguous reference to that initial invoice and the specific details which are being amended.
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that are taxable in our country • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer • Invoices issued by a non-established supplier on which VAT is due by the supplier
(other) Invoices subject to the national invoice requirements (not self-bills)	• In terms of the Malta VAT Act, invoicing shall be subject to the rules applying in the

	Member State where the supplier making use of one of the special schemes referred to in Parts Seven (Special scheme for telecommunications, broadcasting or electronic services supplied by taxable persons not established within the Community) and Eight (Special scheme for telecommunications, broadcasting or electronic services supplied by taxable persons established within the Community but not in the Member State of consumption) of the Fourteenth Schedule to the Malta VAT Act is identified

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Malta, credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No, but recommended
Reference to original invoice required on a credit note	• Invoice number and date
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• No

Sequential numbering	
Separate sequential credit note numbering required	• Yes
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction. No explicit requirements in Malta.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• N.a
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Allowed	• Allowed

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Qualified certificates issued by a Certification Authority accredited in an EU Member State should be accepted
Automated e-signing	• Allowed

Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original tax invoice with eSignature including certificate or other I&A evidence as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required throughout the storage period
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[7]	• 6 years
Start point of retention period calculation for invoices not related to immovable property	• From the end of the year to which they ae relate
Retention period for e- invoices related to immovable property	• 6 years (as standard) for immovables, unless the adjustment scheme[8] applies • If the adjustment scheme applies, the adjustment period for immovable property is 20 years, in which case the total retention period will be <u>26 years</u>
Start point of retention period calculation for invoices related to immovable property	• From the end of the period of reference.

[7] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)
[8] In simple terms, such scheme is applied in the event already acquired asset changes it primary application purpose or transfer of a capital good or immovable property may lead to the right or the obligation to offset tax, in which case the lifespan of such an asset may be extended.

Retention period for other than regular invoices or invoices related to immovable property (if existing)	• 6 years (as standard) for capital goods, such as equipment, inventories, etc., unless the adjustment scheme applies • If the adjustment scheme applies, the adjustment period for capital goods is 5 years, in which case the total retention period will be 11 years
Start point of retention period calculation for other than regular invoices or invoices related to immovable property	• From the end of the period of reference
Outsourced archiving	• Allowed
Archiving abroad[9] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Allowed in other EU country subject to online access
Other requirements in relation to electronic document retention	• According to the VAT Act, invoices must be stored in the original form in which they were sent or made available, whether paper or electronic • In practice, destruction of the source invoice may be possible, provided that I&A of the new document can be proven

[9] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• No explicit requirements
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• N.a

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

Etenders.gov.mt (e-PPS) is a website managed by Department of Contracts and contains all Government of Malta tenders. The site works as a platform to facilitate the full lifecycle of the tendering process, for both suppliers and buyers.

Businesses can register as a supplier of goods and services with e-PPS through the website.

10.2. Indirect tax reports

VAT Return

- Entities report VAT in a VAT return

In most cases registered taxpayers file VAT returns quarterly. VAT returns must be filed within one-and-a-half months after the end of the tax period to which they relate. Recently Maltese VAT law was amended to ensure that businesses sending their VAT declarations and making payments online are not charged interest and administrative fines if the declaration or payment is sent within seven days after the current deadline.

Electronic filing is mandatory in Malta. Electronic filing of VAT returns is mandatory for all taxable persons except for those who have less than 10 employees. There is a seven-day extension for the filing online of the VAT return and the payment of the respective VAT due, if any.

10.3. Implementation of Directive 2014/55/EU

10.3.1. Legislation

Under the Financial Administration and Audit Act, the Ministry for Finance, in liaison with Department of Contracts has enacted subsidiary legislation to implement Directive 2014/55/EU. This subsidiary legislation imposes the obligation to all contracting authorities in Malta to receive and process electronic invoices.

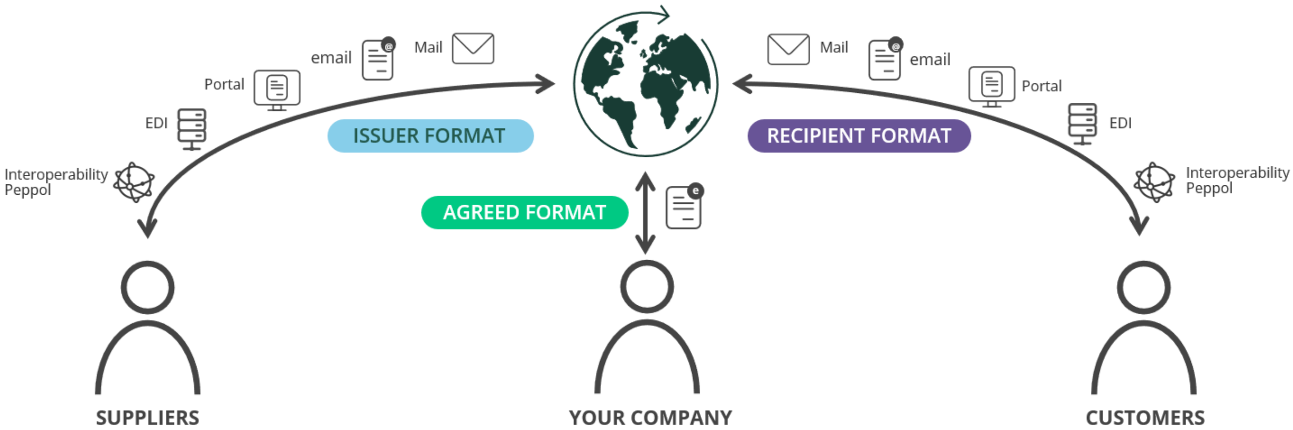
Furthermore, the Government of Malta supports the widespread adoption of e-invoicing as part of its Digital Malta national strategy and as a result of its participation in the EU Funded "eInvoicing4Islands" project (implemented between June 2019 and Q3 2021), has committed to deploying a new e-invoicing service for all Central Government Departments and its sub-central authorities.

As of December 2021, the Government of Malta has selected Pagero for the provision of Peppol networking and e-invoicing services for all its departments, entities, regional authorities and local councils. This agreement enables Malta to meet its obligations concerning the European Directive on e-invoicing in Public Procurement (Directive 2014/55/EU). Maltese and international businesses can send e-invoices to any public sector body in Malta via the Peppol infrastructure. Implementation of the Peppol infrastructure is currently under development.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero



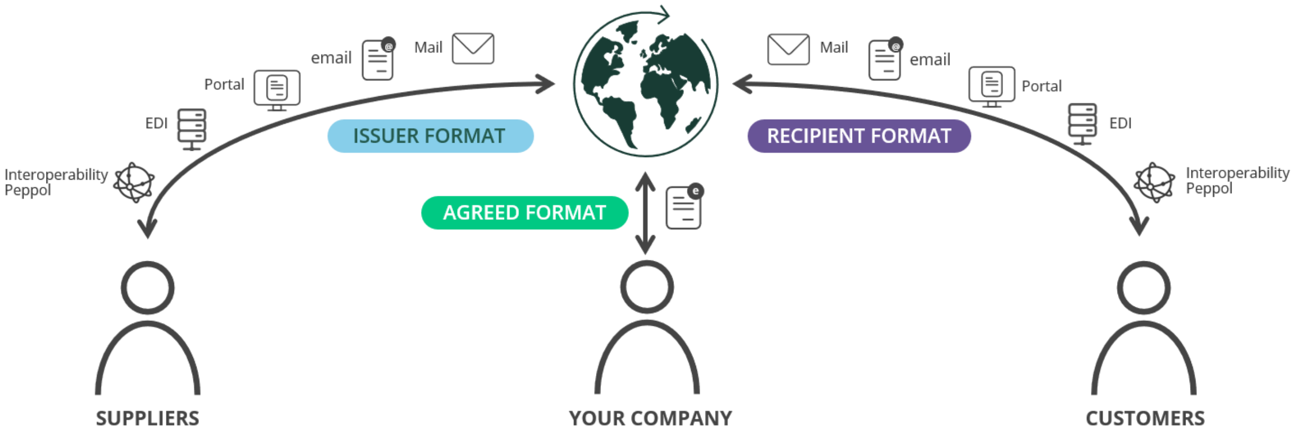
(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms

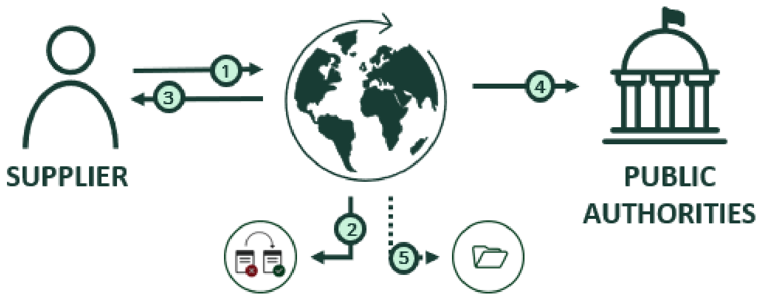
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

11.3. B2G via Peppol



(1) Supplier provides data in supplier preferred format to PAGERO or PAGERO Portal
(2) PAGERO performs i.a.
   a. content validation,
   b. content enrichment and conversion,
   c. document format conversion to Peppol BIS, etc.
(3) PAGERO returns the finalized e-invoice to the supplier
(4) PAGERO sends the e-invoice to the contracting authority
(5) PAGERO archives all relevant document on behalf of the supplier

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero’s Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero’s prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero’s Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
24 July 2018	Document created
05 October 2021	Section 11: Amended flow charts
25 July 2022	Document updated